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DJIA 44323.07 ▼ 19.12 0.04% NASDAQ 20974.17 ▲ 0.4% STOXX 600 546.58 ▼ 0.1% 10-YR. TREAS. ▲ 16/32, yield 4.370% OIL \$67.20 ▼ \$0.14 GOLD \$3,401.90 ▲ \$48.90 EURO \$1.1697 YEN 147.38

What's News

Business & Finance

- ◆ **The S&P 500 and Nasdaq** rose to records, helped to re-spective gains of 0.1% and 0.4% by robust corporate earnings, while the Dow industrials fell less than 0.1%. **B1**
- ◆ **McKinsey will change** the way it picks its leaders for the first time in years in an effort to avoid the internal tensions that marked its past two elections. **B1**
- ◆ **The U.S. economy is** set to slow, leading economic indicators suggest, with the impact of tariffs becoming more pronounced in the second half through higher prices. **A2**
- ◆ **Dynamix is merging** with another entity to create a company called Ether Machine to manage more than \$1.5 billion in the second-largest cryptocurrency. **B1**
- ◆ **AstraZeneca said it** plans to invest \$50 billion in the U.S. by 2030, the latest drug-maker to commit to American manufacturing as looming tariffs threaten to raise costs across the industry. **B1**
- ◆ **Big U.S. electric-vehicle** battery makers are stepping back from their starting place and betting on customers in the once-staid energy storage systems market. **B1**
- ◆ **BP named** Albert Manifold as its new chairman, picking an energy-industry outsider to oversee an overhaul aimed at reviving the company's fortunes. **B3**
- ◆ **Alaska Airlines** resumed operations after grounding its entire fleet for several hours due to a software outage. **B3**
- ◆ **Subway named** former Burger King executive Jonathan Fitzpatrick as its next CEO, with a mandate to improve U.S. sales. **B2**

World-Wide

- ◆ **Harvard's battle** with the Trump administration over its future reached a crescendo in a federal courtroom as the university argued that the government had no basis to cut \$2.2 billion of research funding. **A1**
- ◆ **A \$500 billion effort** unveiled at the White House to supercharge the U.S.'s artificial-intelligence ambitions has struggled to get off the ground and has sharply scaled back its near-term plans. **A1**
- ◆ **Hundreds of Marines** who were deployed to Los Angeles last month during protests over immigration enforcement will withdraw from the city, the Pentagon said. **A4**
- ◆ **China confirmed it** was preventing Wells Fargo banker Chenyue Mao from leaving the country, saying she is required to assist in a criminal investigation. **A6**
- ◆ **A judge sentenced** former Louisville, Ky., police detective Brett Hankison to nearly three years in prison for his role in the botched 2020 raid during which Breonna Taylor was fatally shot. **A3**
- ◆ **The Trump administration** released more than 230,000 pages of documents on the 1968 assassination of civil-rights leader Rev. Martin Luther King Jr. **A4**
- ◆ **A New York federal** appeals court overturned the conviction of the man found guilty in the 1979 kidnapping and killing of 6-year-old Etan Patz, a case that drew national attention. **A3**
- ◆ **Died: Malcolm-Jamal Warner**, 54, actor on "The Cosby Show." **A5**

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Drones Over Ukraine Rewrite the Playbook of War



HIGH ALERT: A Ukrainian army antiaircraft machine gunner on patrol against Russian drones in the Dnipro region. The unmanned aircraft are increasingly carrying out battlefield missions, from killing enemy troops to delivering meals. **A16**

SoftBank and OpenAI Struggle To Launch Stargate AI Project

The \$500 billion venture has yet to complete a single deal for a data center

By ELIOT BROWN AND BERBER JIN

A \$500 billion effort unveiled at the White House to supercharge the U.S.'s artificial-intelligence ambitions has struggled to get off the ground and has sharply scaled back its near-term plans. Six months after Japanese

billionaire Masayoshi Son stood shoulder to shoulder with Sam Altman and President Trump to announce the Stargate project, the newly formed company charged with making it happen has yet to complete a single deal for a data center.

Son's SoftBank and Altman's OpenAI, which jointly lead Stargate, have been at odds over crucial terms of the partnership, including where to build the sites, according to people familiar with the matter. While the companies

pledged at the January announcement to invest \$100 billion "immediately," the project is now setting the more modest goal of building a small data center by the end of this year, likely in Ohio, the people said.

Stargate's lethargic launch is a setback to the vast ambitions of Son, who despite spending billions of dollars over the years, has been playing catch-up in the fast-evolving AI sector.

SoftBank committed \$30 billion to OpenAI earlier this year. It is by far the largest-

ever startup investment—an enormous wager that has led SoftBank to take on new debt and sell assets. The investment was made alongside the plans for Stargate, giving SoftBank a role in the physical infrastructure needed for AI.

Altman, eager to secure the computing power to support the next generations of his company's signature product, ChatGPT, has plowed ahead without SoftBank, signing deals for data centers with other operators.

The leaders of both companies are now in a bitter dispute. Please turn to page A2

Harvard, U.S. Clash In Court About Funding

Ivy League school fights to restore its \$2.2 billion in federal research contracts

By BRIANNA ABBOTT AND SARA RANDAZZO

BOSTON—Harvard's battle with the Trump administration over the future of the university reached a crescendo Monday in a federal courtroom in Massachusetts, as the Ivy League school argued the government had no basis to cut \$2.2 billion of research funding.

"What we're here for are our constitutional rights," Steven Lehotsky, an attorney for Harvard, told a federal judge.

The Trump administration, meanwhile, insisted it has the power to cancel contracts with universities that no longer align with government priorities, in this case because of its determination that Harvard has tolerated antisemitism on its campus.

"If Harvard really cared about the importance of that research, they would address antisemitism," Michael Velchik, a Justice Department lawyer and Harvard graduate, argued in court.

The lawsuit Harvard filed against the administration in April to restore its funds is playing out alongside the many clashes between President Trump and the university. In addition to canceling federal research grants, Trump has threatened Harvard's tax-exempt status, sought to remove its ability to enroll international students

Please turn to page A4
◆ **Win or lose in court, school faces a damaging war.... A4**

INSIDE



JASON GAY
Scottie Scheffler's win at the British Open means nothing—and everything. **A12**



BUSINESS & FINANCE
Stellantis earnings take a hit from U.S. tariffs as shipments decline. **B1**

Deadly Chaos Plagues Israel's Food Program in Gaza

Visit to distribution site shows how system designed to squeeze out U.N. and Hamas draws Palestinians into danger

By DOV LIEBER AND ANAT PELED

KHAN YOUNIS, Gaza Strip—Thousands of hungry Palestinians amassed last Tuesday morning outside a barbed-wire fence surrounding the Gaza Humanitarian Foundation aid center here. The moment the gates cracked open, the crowd surged forward.

American security contractors tried to keep control, but scores of men pushed through barricades and snatched boxes of food awaiting distribution. Others sprinted in behind them. Men on speeding motorcycles raced past the pedestrians to grab whatever food they could. Gunshots rang out—it wasn't clear from where. Within about 15 minutes, all the

food was gone.

Chaotic scenes like that one, witnessed by a Wall Street Journal reporter, have plagued the new food-distribution system run by an Israeli-backed foundation known as the Gaza Humanitarian Foundation. Since the program began two months ago, hundreds of people have died and hundreds more have been wounded trying to get food from the four GHF sites, according to local health authorities. Israel's military acknowledges opening fire on crowds that come too close to its troops, but a military spokesman disputed the figures reported by Gazan authorities, saying the numbers are inflated.

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The Fiercest Border Fight: High Kicks, Very Long Flagpoles

Nations try to top each other at nightly ceremonies; 'you are a banana'

By SHAN LI AND AAKASH HASSAN

WAGAH BORDER, India and Pakistan—For India and Pakistan, size really does matter. At least when it comes to flagpoles.

For years, the rival nations have indulged in elaborate, and competing, flag-lowering ceremonies at a border crossing called Wagah. Every day at sunset, paramilitary soldiers on both sides show off their patriotic fervor with energetic high kicks and foot stomping, while crowds cheer and chant slogans from opposing stadiums that directly face each other across the border fence.

The ritual has fueled an escalating game of one-upmanship, which has only ratcheted up since May, when the two nuclear-armed neighbors clashed in a four-day conflict.

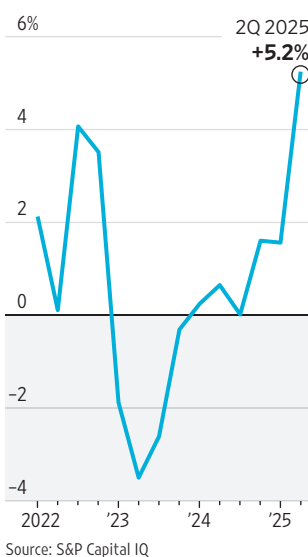
"We cannot be seen any lesser than the Pakistan side—in height, in bearing," said Himanshu Yadav, assistant commandant in India's Border Security Force posted at the Wagah border. "This is why very fine men get sent here."

Tensions ran high even after a cease-fire deal. For a few days after peace resumed, some Indian soldiers broke long-established parade protocols by waving their fists. Please turn to page A8

Verizon Beats Estimates

Verizon's second-quarter revenue and profit topped analyst expectations. **B1**

Verizon's quarterly revenue, change from a year earlier



They Came for His Wine, His Ferraris, His Artwork

By PETER GRANT

In France's Provence region late last year, a group of men entered Château de Chausse, the 138-acre home and vineyard of Charles Cohen. While the New York real-estate tycoon was away, the men scoured the palatial house, taking high-priced artworks, furniture and Cohen's collection of fine wines.

They weren't thieves. The men were following orders of the French court, and they seized hundreds of thousands of dollars of Cohen's personal belongings in the château on behalf of Fortress Investment Group.

Fortress said it was simply taking what it is owed. In 2022, the New York-based investment firm made a \$535

million loan to Cohen Realty Enterprises as a way to consolidate his previous debt. Cohen's collateral included a Manhattan office tower, the Le Méridien Dania Beach hotel in Fort Lauderdale, Fla., and four other properties, according to records from New York State Supreme Court, where Fortress is suing Cohen.

But crucially, Cohen also personally guaranteed \$187.2 million of that loan. That "recourse" portion of the debt gave Fortress additional powers to go after Cohen personally if his business defaulted.

Now, that's what's happening. Cohen's business defaulted last year, and Fortress took control of most of the collateral. But the firm said that the Please turn to page A2